$32 = 8 \times 4$

This formula has been used by Harrod – Domar in their growth models.

## Estimates of National Income in India

The calculation of National Income dates back to pre-independence period. This is updated, modified and fine-tuned to changing times.

### Before Independence

In 1868, Dadabhai Naoroji wrote a book named *Poverty and Un British Rule in India* in that book, he estimated the per capita income of Indians as ₹20. Thereafter, the following persons had also calculated the per capita income.

Findlay Shirras (1911) – ₹49.00

Wadia and Joshi (1913–14) – ₹44.30

For the period of 1925–29, Dr. V.K.R.V. Rao calculated per capita income of Indians as ₹76. He was the first person to estimate National Income scientifically with a proper method.

### After Independence

National Income Committee was formed in 1949 under the chairmanship of Prof. P.C. Mahalanobis. It submitted its first report in 1951 and final report in 1954. It reported that the per capita income was ₹246.90 for the period of 1950–54.

Later, the Central Statistical Organisation (CSO) was formed. The first official estimate by CSO was in 1956 with base year 1948–49. Base year has been shifted seven times so far i.e. 1960–61, 1970–71, 1980 – 81, 1993–94 and 1999–2000, 2004–05 and the year 2011–12 is the new base